BERNSTEIN
SOCIETE GENERALE GROUP

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Americas Energy & Transition

Bernstein Energy: Applying the 5 "W"s to an upstream capex supercycle...we are unconvinced

Bob Brackett, Ph.D.
+1 917 344 8422
bob.brackett@bernsteinsg.com

Minnie Xu
+1 917 344 8574
minnie.xu@bernsteinsg.com

Anshika Bajpai
+1 917 344 8306
anshika.bajpai@bernsteinsg.com

*Today, we use our outlook for global upstream oil & gas capital expenditures (*Bernstein Energy: Global Upstream Capex 2026...the quantity of capex falls now...does the quality of capex follow?) to consider the current environment*. We still see a* ***pullback of ~$40 bln upstream capex in 2026 driven by lagging company conservatism in uncertain oil and geopolitical environment****. Public E&Ps remain disciplined, OFS companies are not materially resetting FY26 guidance higher, shale productivity gains are harder to achieve, and a large share of discovered resources remains undeveloped because the barrels are long-cycle, politically difficult, or no longer cheap to develop.*

In a post Strait of Hormuz world, we would expect perhaps ~$560 bln in total upstream capex Exhibit 1, ~$50 bln more from our previous forecast in Jan 2026, when Brent averaged ~$70/bbl. Today, Brent is ~$90/bbl, **but we'd expect planning prices have risen to at most $70/bbl.**

In this note, we use the five-W framework to assess the likelihood of an upstream capex supercycle.

1. **WHY invest? Cash flow is up, but reinvestment appetite is not.** Higher Brent has improved E&P cash flow, but investors continue to reward capital discipline, buybacks and free cash flow durability over production growth (Exhibit 3 - Exhibit 7.
2. **WHAT barrels get developed?** Roughly 1/3 of the discovered resources over the past century remains undeveloped (Exhibit 8) with deepwater + barrels leading discoveries. The problem is that those deepwater barrels are increasingly harder to convert into supply (Exhibit 9 and Exhibit 10). Shale barrels are content to plateau (Exhibit 12) while oil sands barrels (Exhibit 13) need more clarity.
3. **WHO will invest? NOCs, not public E&Ps, lead the next cycle.** The marginal growth barrel is increasingly controlled by NOCs and state-directed players, not U.S. shale independents (Exhibit 14 - Exhibit 16).
4. **WHERE can capital go? The best geology is often in the worst jurisdictions.** Many of the largest undeveloped barrels sit in countries with high fiscal take, political instability, sanctions or weak rule of law (Exhibit 17 -Exhibit 18)
5. **WHEN to invest?** Usually, high oil prices trigger a sharp pickup in rig activity, but that pattern has broken down this time, and we have not yet seen any raise of guidance from oil services and equipment companies (Exhibit 19 - Exhibit 20). Upstream inflation also means companies are spending more simply to hold activity flat.

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Finally, we highlight that oil price has outperformed E&P equities year to date (Exhibit 21). The thesis of higher for longer prices driving better than historic volume growth is not one that we find resonating.

Instead we'd suggest that as we exit the current crisis and the Strait reopens, the dominant theme will be a comfortable oil price with a powerful floor (refilling strategic reserves at $70+?) where excess free cash flow is rapidly collected by E&Ps and returned to shareholders.

BERNSTEIN TICKER TABLE

			12 Jun 2026		TTM		Adjusted EPS			Adjusted P/E (x)		
			Closing	Price	Rel.							
Ticker	Rating	Cur	Price	Target	Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
APA (APA)	M	USD	37.02	40.00	62.6%	USD	2.83	7.20	6.42	13.1	5.1	5.8
COP (ConocoPhillips)	O	USD	116.98	121.00	0.6%	USD	6.18	13.89	10.88	18.9	8.4	10.8
CVX (Chevron)	M	USD	187.22	204.00	6.2%	USD	8.43	16.58	13.26	22.2	11.3	14.1
DVN (Devon Energy)	O	USD	45.31	59.00	9.1%	USD	4.17	10.06	8.43	10.9	4.5	5.4
FANG (Diamondback)	O	USD	192.13	241.00	5.7%	USD	4.57	32.21	27.22	42.0	6.0	7.1
EQT (EQT)	O	USD	51.94	69.00	(29.4)%	USD	3.31	8.15	8.58	8.0	5.0	4.8
EOG (EOG)	M	USD	136.65	155.00	(9.6)%	USD	9.88	18.93	16.25	13.8	7.2	8.4
KOS (Kosmos Energy)	M	USD	2.87	2.40	14.4%	USD	(1.58)	1.13	0.75	(1.8)	2.5	3.8
KOS.LN (Kosmos Energy)	M	GBp	217.00	177.00	28.9%	GBP	(1.17)	0.83	0.56	(1.9)	2.6	3.9
XOM (ExxonMobil)	O	USD	147.01	182.00	11.0%	USD	7.37	16.37	14.49	19.9	9.0	10.1
SPX			7,431.46									
EDME			1,570.59									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

EQT estimate is Reported EPS; EQT valuation is EV/EBITDA (x);

Source: Bloomberg, Bernstein estimates and analysis.

INVESTMENT IMPLICATIONS

Capex discipline and a normalizing price might be an attractive entry point for oily E&Ps. We have outperform ratings on FANG, COP and DVN.

DETAILS

SYNTHESIZING THE 5 "W"S ... WE EXPECT ONLY TWEAKS TO UPSTREAM CAPEX

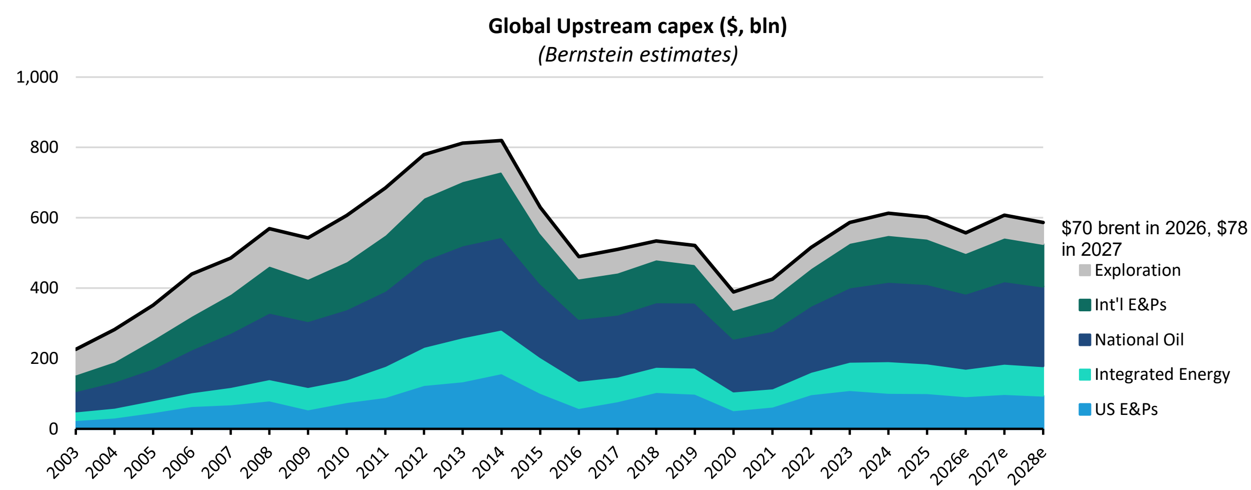
It is reasonable to assume somewhat higher upstream capex than in our previous forecast, as stronger Brent prices have encouraged some less disciplined operators to step up investment, driving a gradual increase into 2027. Once Brent prices normalize to $75/bbl in 2028 under our price deck, we expect upstream spending to trend lower again to our long run views.

Our capex model takes oil price assumptions as a strong driver, but despite the price on the screen (and risks of higher prices), we do not use, say, current ~$90 Brent for our capex model as we don't believe planning prices have fundamentally changed in a post Strait of Hormuz world, especially given (1) the uncertainty, and (2) the strong desire for the market to want lower prices. We have always perhaps believed that inflation was closer to a popular delusion than a law of physics. Our favorite author, Philip K. Dick, argued "Reality is that which, when you stop believing in it, doesn't go away." Apparently oil economics can defy reality for now.

In any case, we provide our (unimpressive) capex forecast below reflecting our view of the current situation.

Then we apply a 5 "W" framework to support our view.

EXHIBIT 1: **We forecast ~$560 bln in upstream capital expenditures in 2026 including ~$56 bln toward exploration**



Source: Company reports, Rystad Energy, IEA, EIA, Bloomberg, Bernstein estimates and analysis

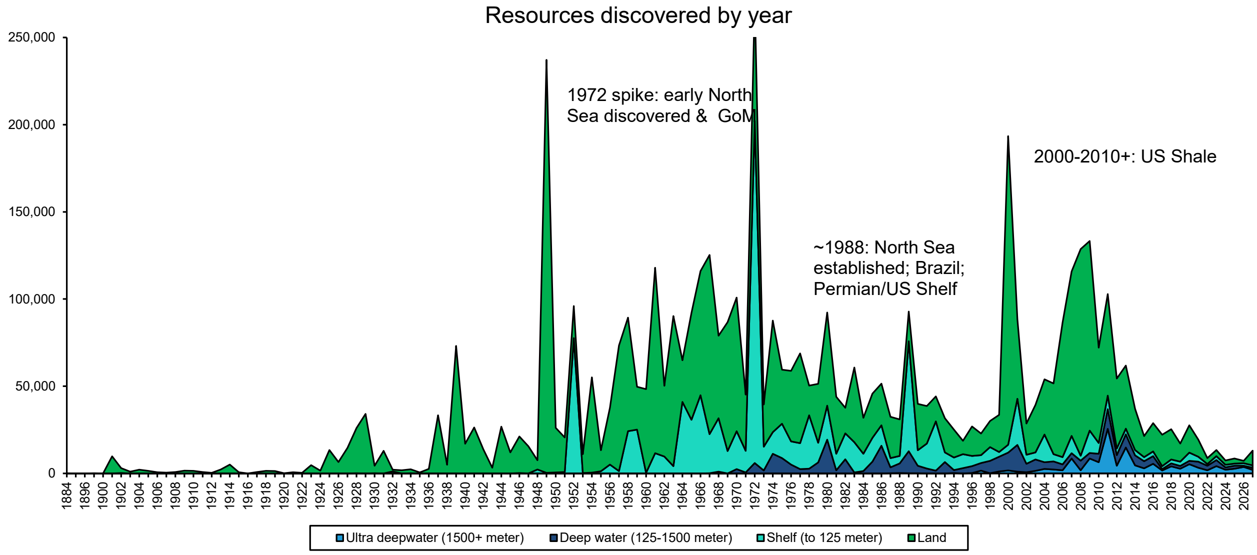
WHY...

...INVEST IN UPSTREAM CAPEX?

because reserve replacement ultimately matters

Reserve lives (ex long cycle projects such as LNG) are unimpressive amongst E&Ps and integrateds. Furthermore, shale 'resources' have created a comfort cushion that was lacking say 15 years ago (a strong internal conviction that resources can be migrated to reserves and then out the wellhead). While significant resources and reserves no doubt exist, we note that discoveries have collapsed in a world of shale and that the best days of deepwater and ultradeepwater are perhaps behind us.

EXHIBIT 2: **The world has discovered abundant resources, largely in shale and shelf**

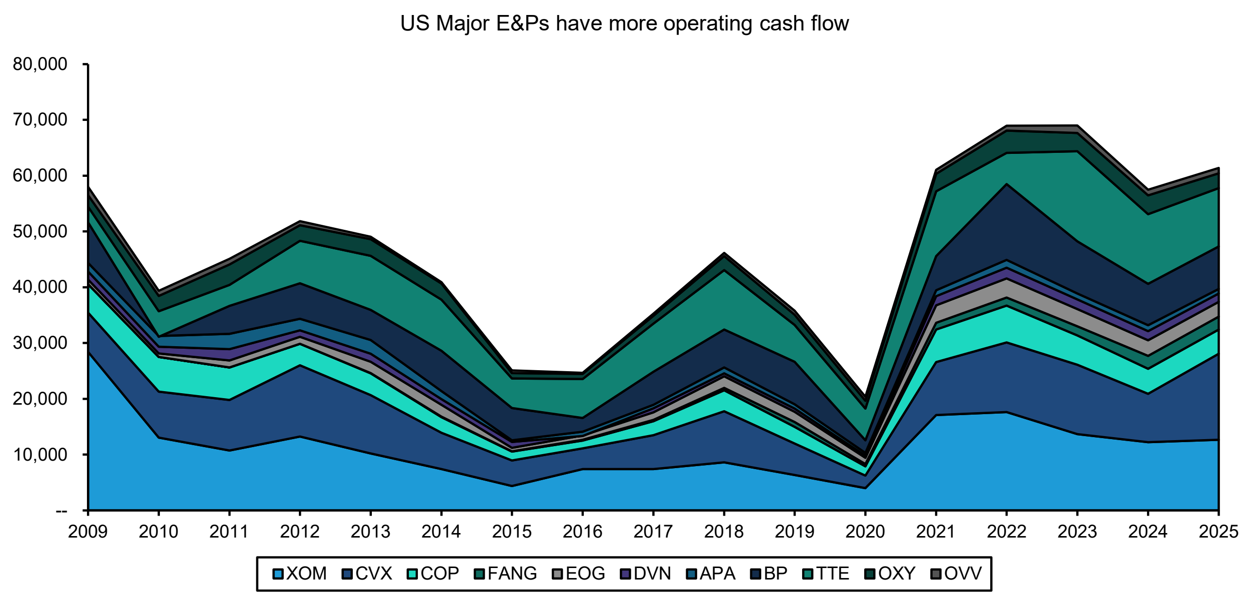


Source: Rystad, Bernstein research and analysis

because E&Ps have enjoyed higher cash flows for the last several years (partly due to consolidation)

While Middle East disruption is still a Q2 headwind to some company's production, the Iran conflict will ultimately case more overall cash flow due to higher Brent price. In any case, large cap E&P cash flows have been relatively impressive since Covid-19 days (in strong part due to industry consolidation).

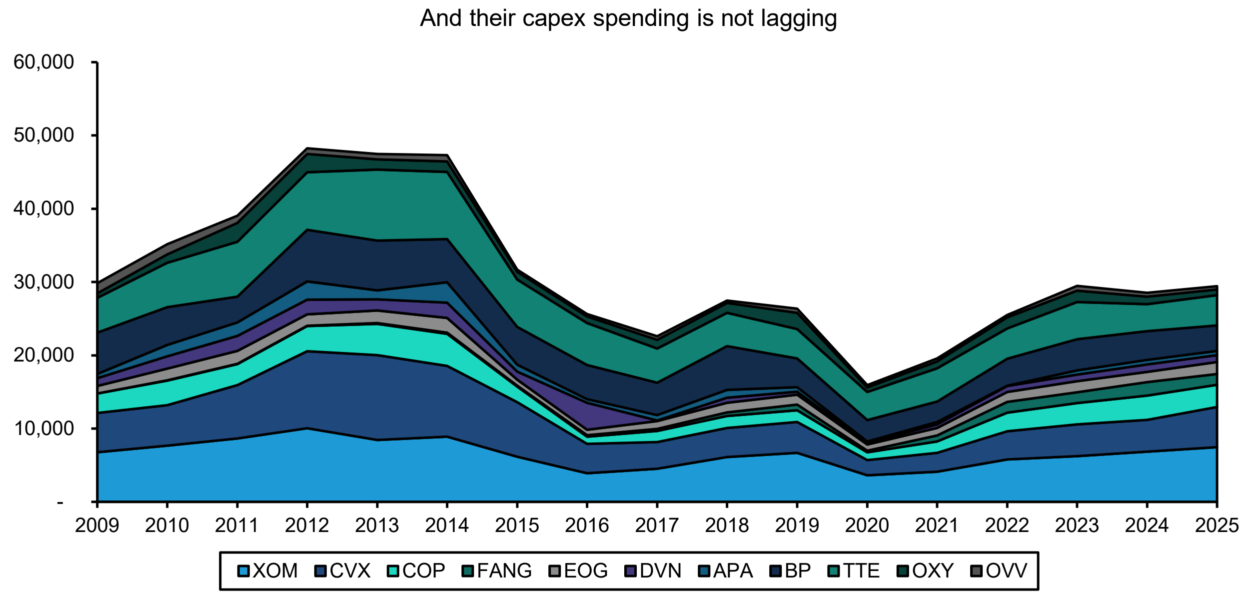
EXHIBIT 3: **US majors operating cash flow is rising thanks to supply discipline**



Source: Rystad, Bloomberg, company reports, Bernstein research and analysis

Despite the higher cash flow, capex spending has simply returned to near pre-Covid levels.

EXHIBIT 4: **And they will try not to break this discipline**



Source: Rystad, Bloomberg,company reports, Bernstein research and analysis

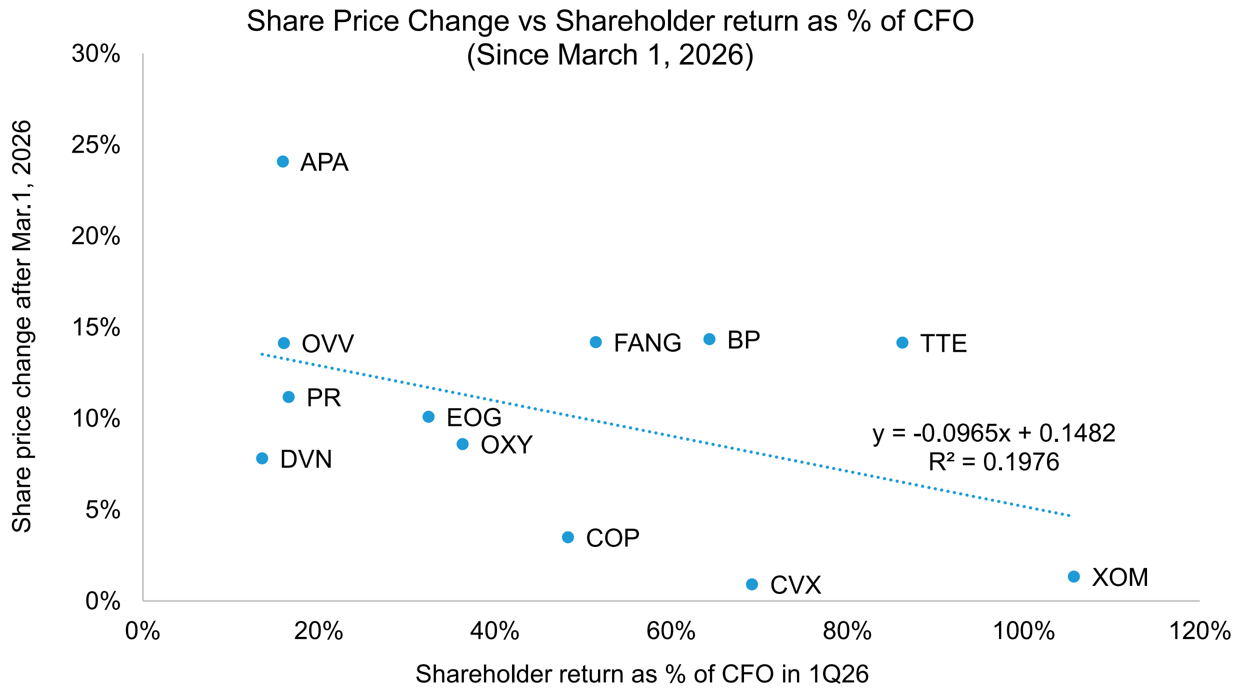
because shareholders want it?

If we track share price changes since the conflict, it shows the market 'rewarded' those returning less CFO to shareholders. We don't truly believe the causality is correct.

Ultimately we believe that more levered names benefit the most from rising cash flow (allowing for deleveraging, etc.).

We don't believe this is anywhere near a signal to companies to spend.

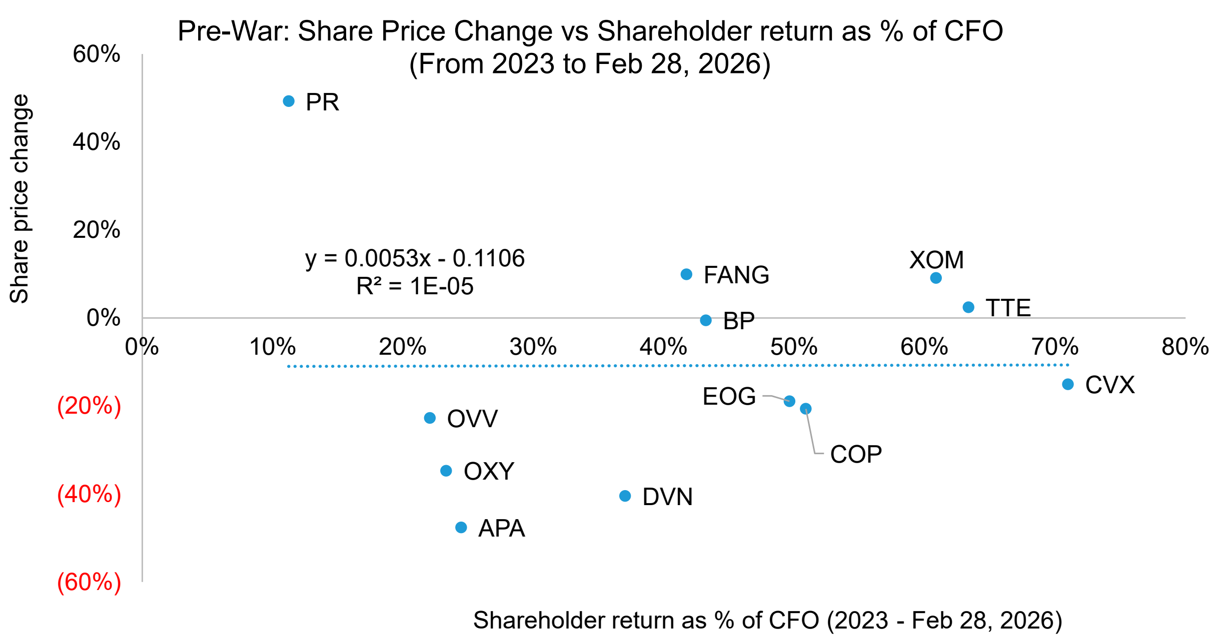
EXHIBIT 5: **Weak correlation, but companies that were less shareholder-friendly based on 1Q26 reporting have actually seen larger share-price gains since the war began.**



Source: Bloomberg, Bernstein research and analysis

Similarly, if we look at the correlation between share price and shareholder return from 2023 to the outbreak of the war, there is no clear 'signal' from investors.

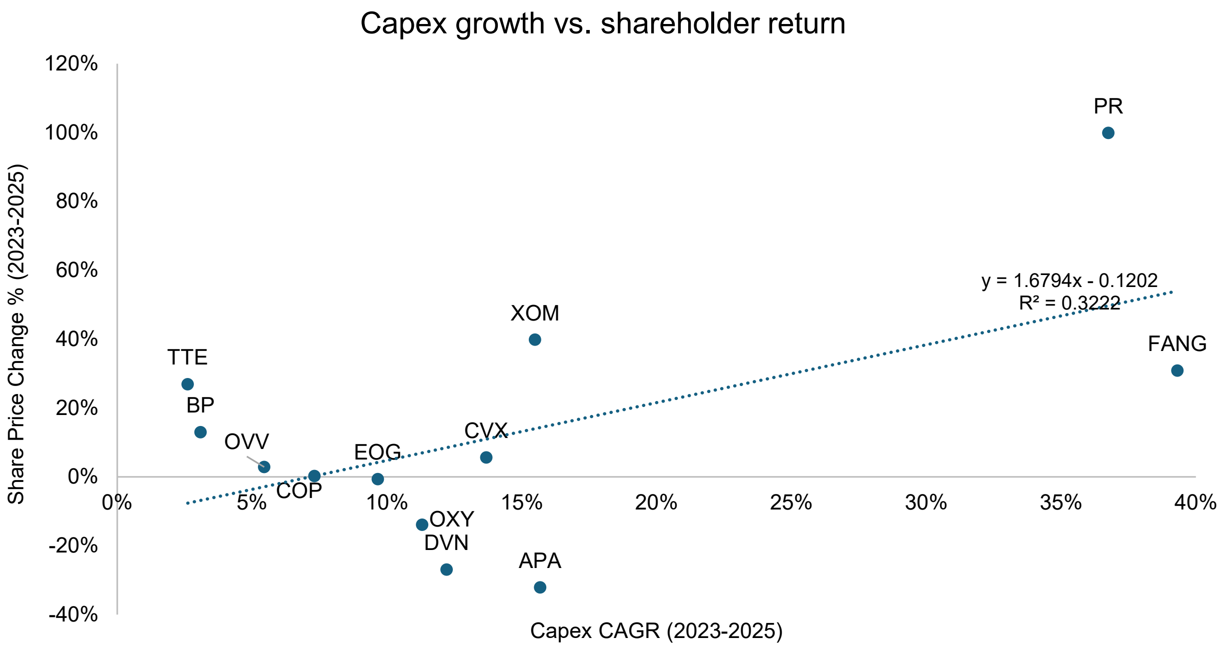
EXHIBIT 6: **and the correlation is weaker before the war began**



Source: Bloomberg, company reports, Bernstein research and analysis

While there is a correlation between capex growth and shareholder returns, it is relatively weak and is underpinned by 3 names who have been aggressively consolidating the Permian Basin (XOM, FANG, and PR). If anything the market is rewarding reasonable deal making that creates larger enterprises that of course require larger capital programs (even for simply maintenance capex).

EXHIBIT 7: **US E&P's high capex growth does not translate to high share price**



Source: Bloomberg, Bernstein research and analysis

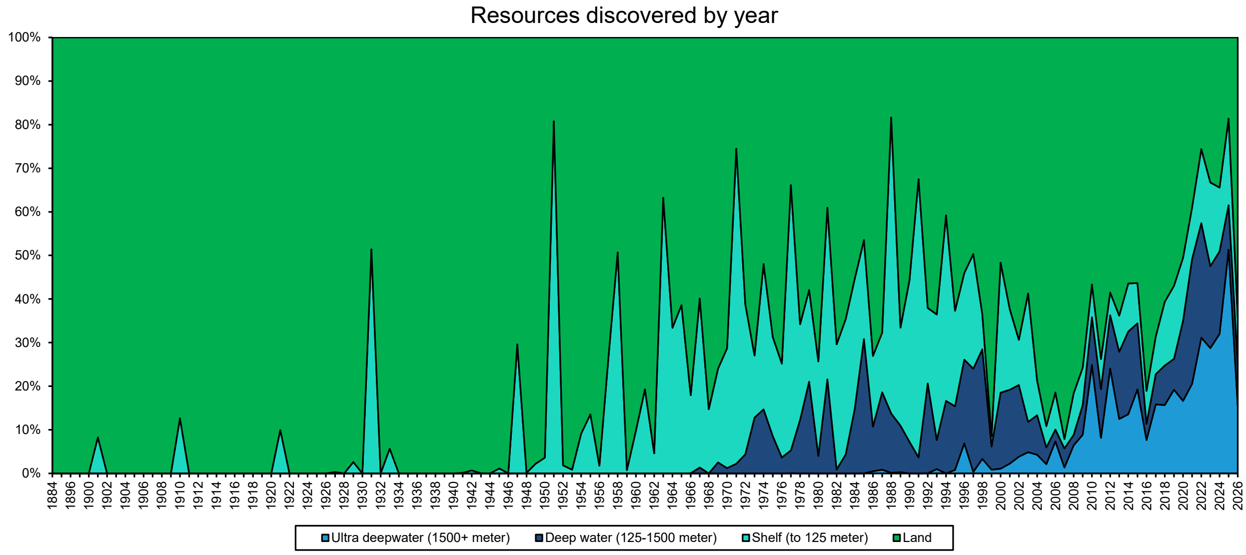
WHAT…

…TYPE OF BARRELS TO INVEST IN?

Deepwater and beyond

We highlight (in a slightly different layout) that in the same way that the shallow water took share of resources discovered from onshore, the deepwater, and then the ultradeepwater rose. The "freshest" discoveries are thus some of the most complicated.

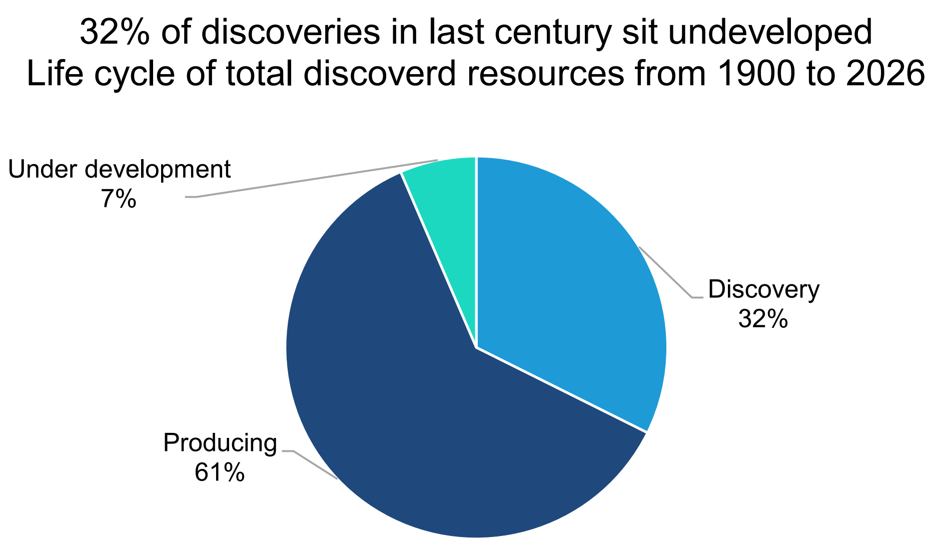
EXHIBIT 8: **The world needs more deepwater projects**



Source: Rystad, Bernstein research and analysis

Ultimately many past resource discoveries become producing fields (61%). And a small proportion are in progress. We do note a large inventory of discoveries that lie dormant and never move forward (despite improving technologies and periodically attractive oil prices).

EXHIBIT 9: **Of the ~1.5 trillion bbl of resources discovered globally since 1900, about 32% remain idle (at the discovery stage).**



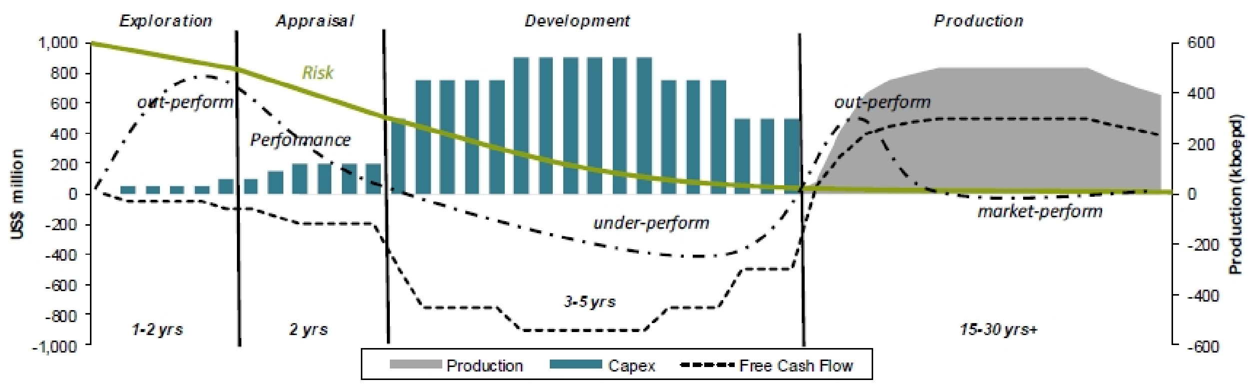
Source: Rystad, Benstein research and analysis

We don't believe in an inventory of "shovel ready" projects waiting for a more certain price. Ultimately we believe that most deepwater discoveries are binary outcomes. They are large enough to sanction relatively soon or were too small to be declared a resource. That suggests a relatively poor pipeline of "almost good enough" deepwater resources that suddenly move "into the money".

[In our black book (Bernstein E&P Primer: Someday You'll Need This Book), we compare project cycles and execution challenges across different types of projects.]

A typical generic major project cycle in detail: Capex is spent for up to 10 years before first oil, which can then run for 15 - 30 years a t a fairly flat production profile.

EXHIBIT 10: **Offshore projects require heavy capex before production**

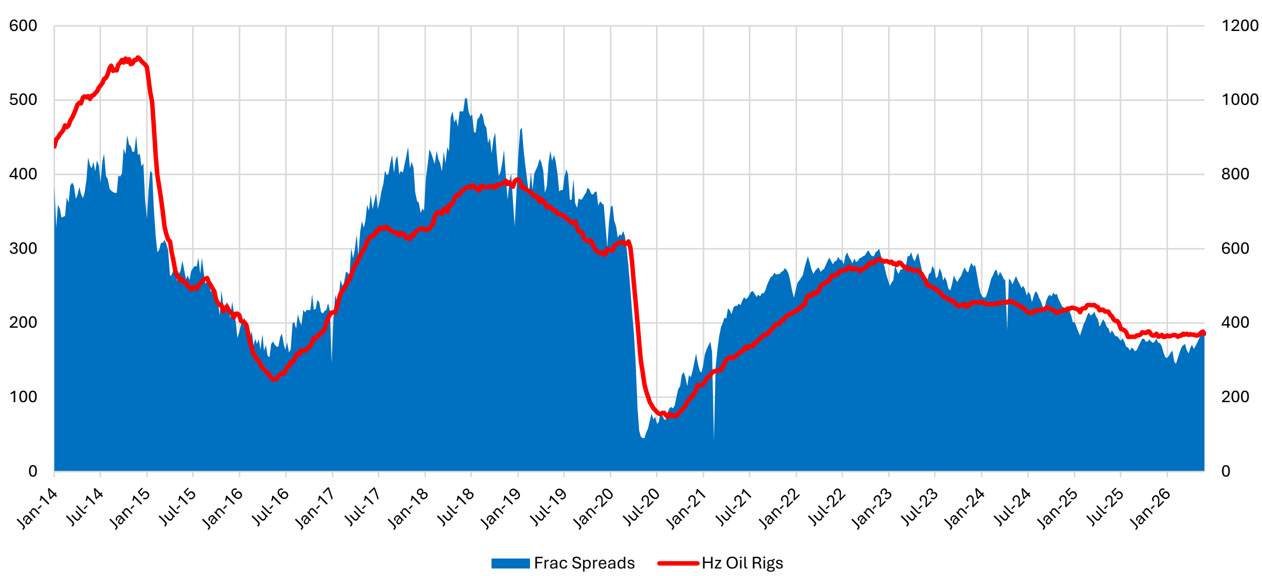


Source: Company reports, Bernstein analysis

Shale

We observe that activity towards shale (as defined by frac spread counts and horizontal oil rigs) is well behaved. It rose following Covid-19 and plateaued during the heights of the invasion of Ukraine by Russia. It has tracked down since and is holding sub 400 even now months after hostilities in Iran.

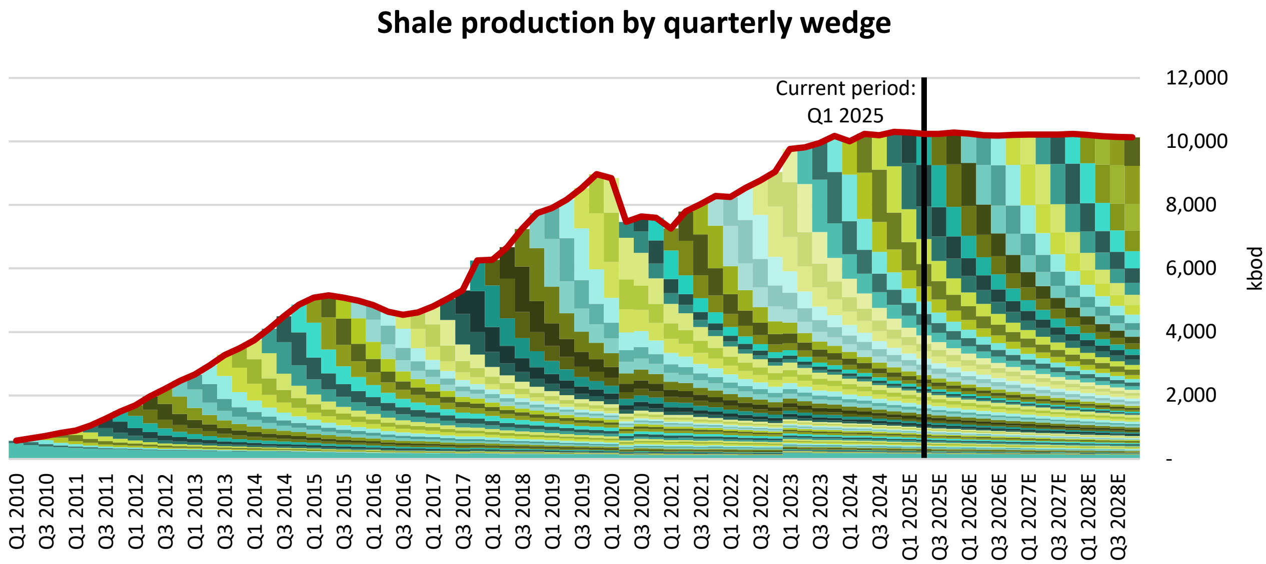
EXHIBIT 11: **Frac Spread & Hz Oil Rigs**



Source: EIA; Bloomberg; Bernstein analysis

The plateauing of activity combined with declines (and roughly flat productivity) have resulting in flat production.

EXHIBIT 12: **Shale supply has plateaued at ~10 mln bopd**



Source: Enverus, EIA, Baker Hughes, Primary Vision, Bernstein analysis and estimates

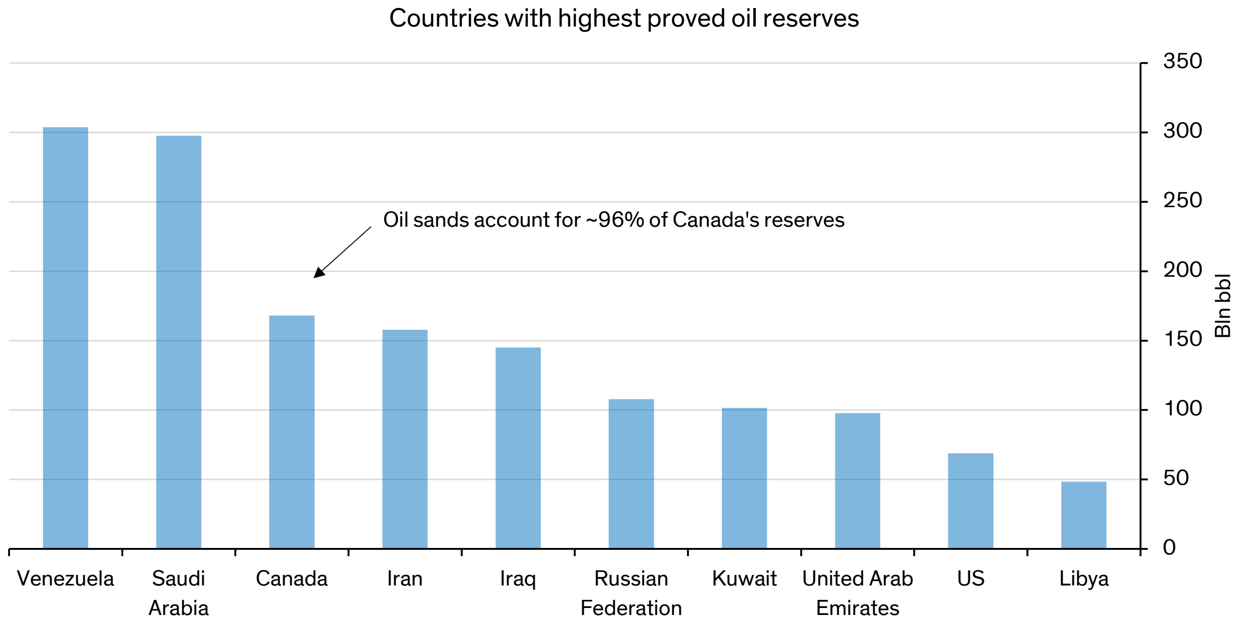
Oil sands

One place to which capital could flow is into oil sands. Venezuela has the world's largest resource and clearly positive momentum is occurring there. Canada (in terms of bitumen) ranks second and has positive momentum as well (technologies focused on modular development are being deployed which have shortened cycle times and capital outlays at comparable returns).

In either case, such projects are typically integrated (upstream investment tied to midstream takeaway and perhaps downstream upgrading) and thus capital intensive, are long-lived (and so sensitive to price, risk and discount rates) and in the case of Venezuela geopolitically conflicted.

We'd measure the supply response from such regions in the 0.1 mln bopd scale in coming years and not 1.0 mln bopd scale.

EXHIBIT 13: **Venezuela and Canada oil sands resources are massive**



Source: EI Statistical Review, Bernstein analysis

Everything else

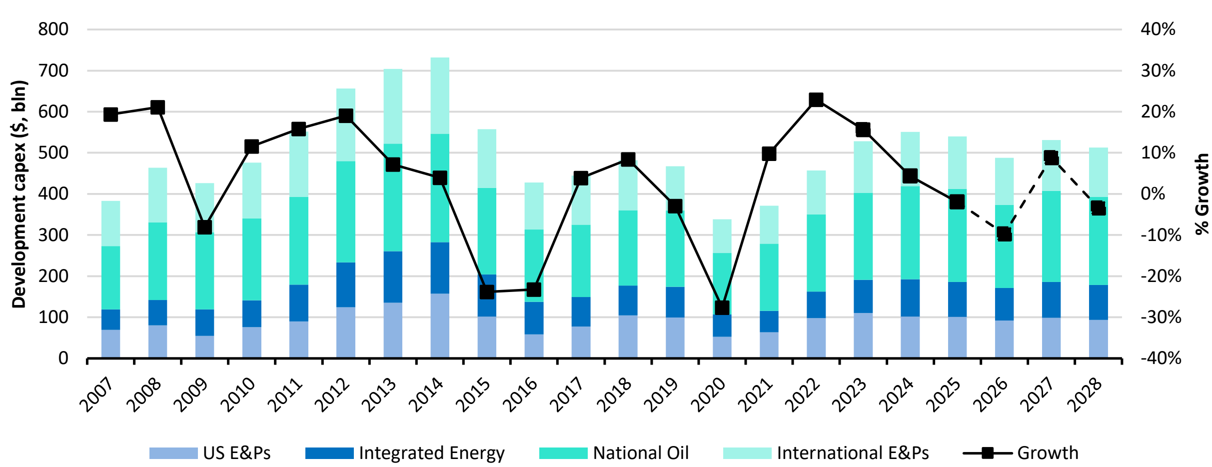
What else can be invested in? Ultimately what remains can be seen in the chart above - onshore OPEC+ producers. We tackle that below under "Where".

WHO...

...WILL INVEST?

National oils (NOCs) are the largest share of capex.

EXHIBIT 14: **We expect development capex to tick up slightly in 2027, but remain broadly flat versus 2025 levels.**



Source: Company reports, Rystad Energy, IEA, EIA, Bloomberg, Bernstein analysis and estimates

And are the largest component of capex growth.

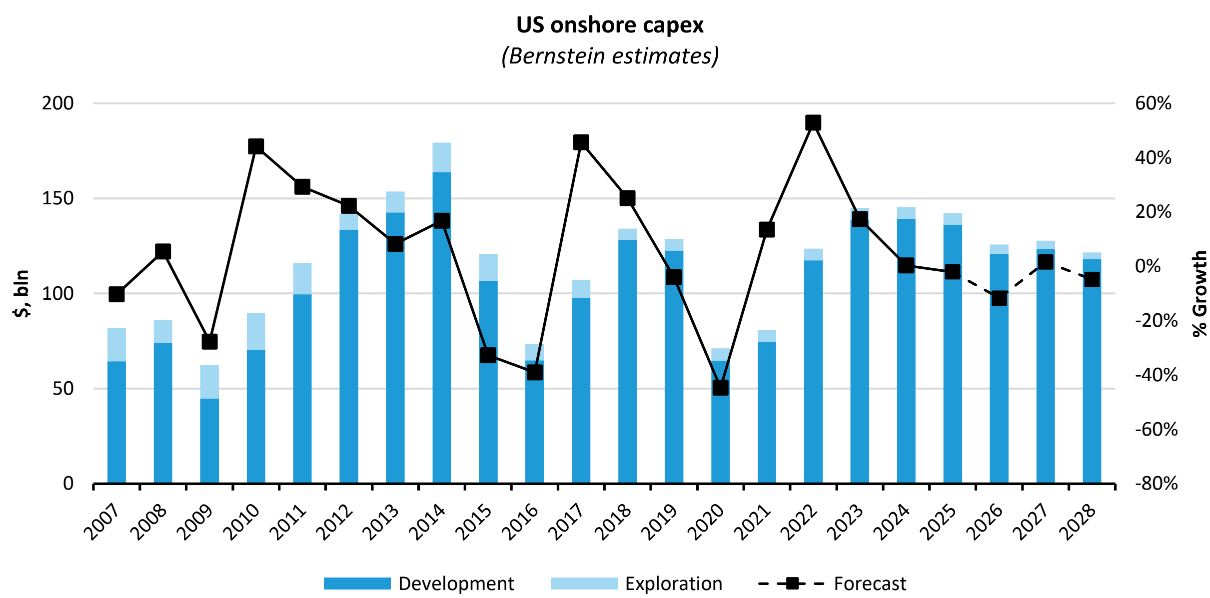
EXHIBIT 15: **Global Capex Forecast**

$, bln	2020	2021	2022	2023	2024	2025	2026e	2027e
Development Capex	338	372	457	528	551	540	500	531
% YoY	*-28%*	*10%*	*23%*	*16%*	*4%*	*-2%*	*-8%*	*6%*
% Offshore	34%	32%	31%	32%	35%	35%	36%	37%
US E&Ps	52	63	98	110	102	101	92	99
% YoY	*-48%*	*21%*	*55%*	*12%*	*-8%*	*-1%*	*-9%*	*7%*
Integrated Energy	55	52	64	81	91	85	79	87
% YoY	*-27%*	*-4%*	*23%*	*26%*	*12%*	*-7%*	*-7%*	*10%*
National Oil	149	163	188	212	226	226	214	221
% YoY	*-19%*	*9%*	*15%*	*13%*	*7%*	*0%*	*-5%*	*3%*
Reinvestment rate	44%	27%	22%	32%	36%	40%	36%	34%
International E&Ps	82	92	106	125	132	128	114	124
% YoY	*-24%*	*13%*	*15%*	*18%*	*5%*	*-3%*	*-11%*	*9%*
Exploration Capex	51	54	59	58	62	62	58	62
% YoY	*-5%*	*6%*	*8%*	*-1%*	*6%*	*0%*	*-6%*	*8%*
% US onshore	13%	12%	11%	11%	10%	10%	8%	7%
% Offshore	50%	53%	50%	46%	48%	48%	49%	49%

Source: Company reports, Rystad Energy, IEA, EIA, Bloomberg, Bernstein analysis and estimates

We knew North America E&P remains disciplined. U.S. operators may raise capital selectively, but they are not abandoning capital discipline.

EXHIBIT 16: **We expect the decline in US onshore capex seen in 2025 to accelerate in 2026**



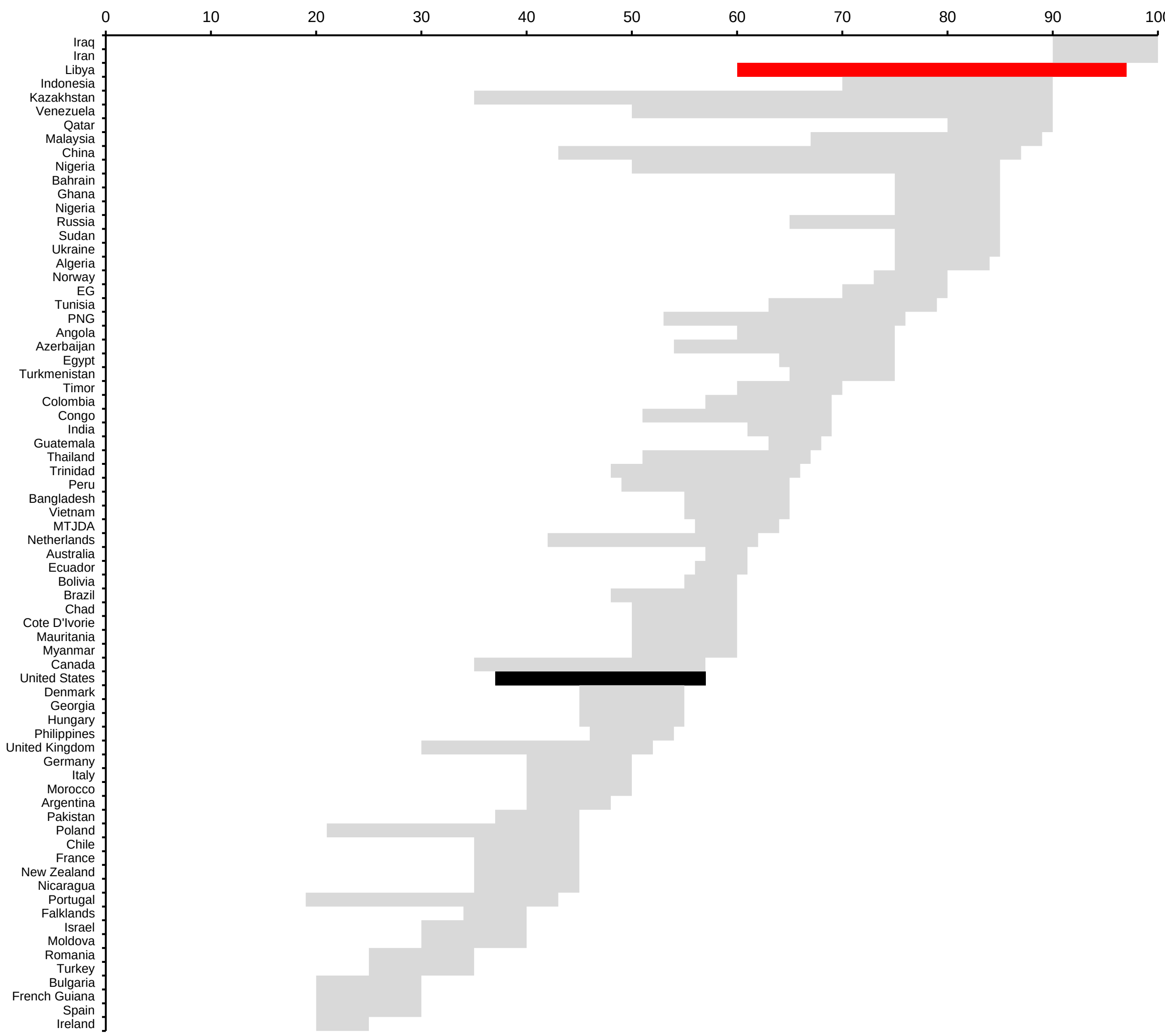
Source: Company reports, Rystad Energy, IEA, EIA, Bloomberg, Bernstein analysis and estimates

WHERE...

...TO INVEST?

We argue that many places within OPEC+ with significant resources the most stringent fiscal terms in [Bernstein Energy & Power: Is this the dumbest thing that big oil companies can do in 2026?](#) .

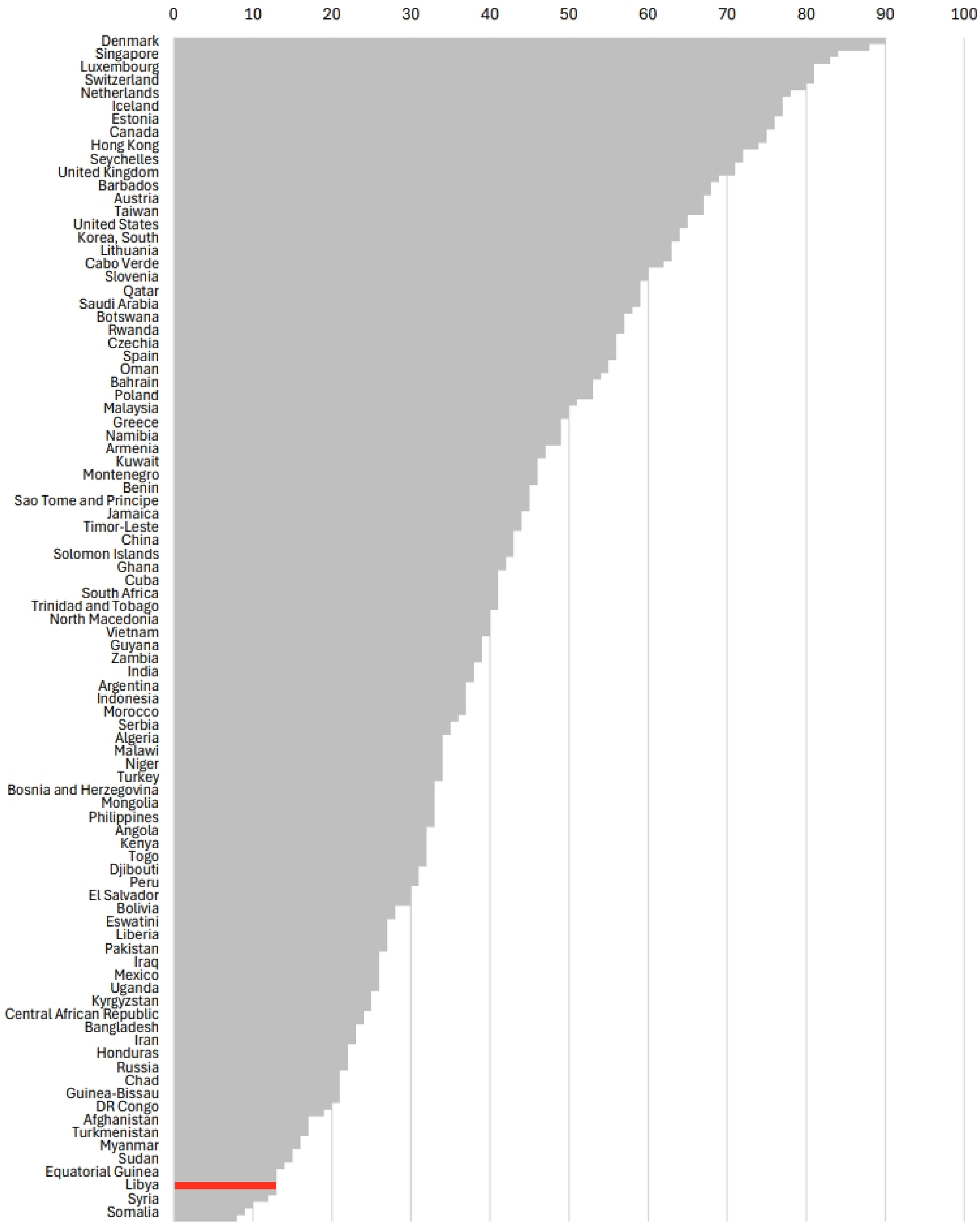
EXHIBIT 17: **Range of fiscal take by country**



Source: Literature search; Bernstein estimates & analysis

And in some cases can have poor transparency.

EXHIBIT 18: **Corruption Index by country**



Source: Transparency.org, Bernstein analysis

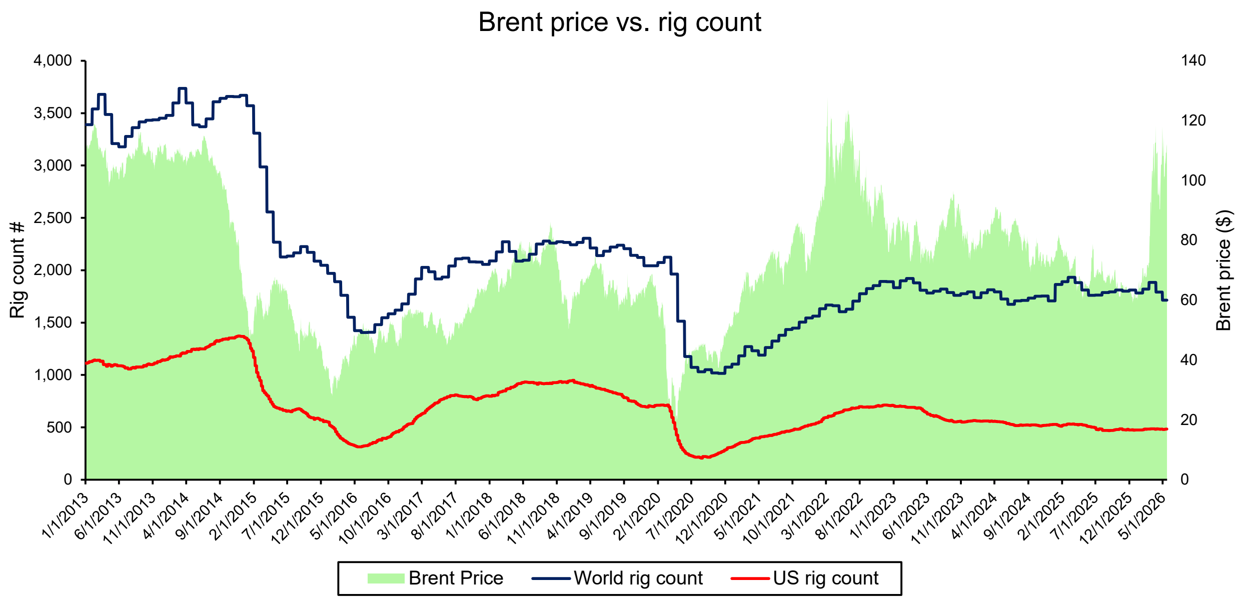
The challenge is thus: Where one can invest in future oil supply doesn't match where one can profitably and safely invest.

WHEN...

...TO INVEST

Historically, higher oil prices led to rapid activity growth. The current cycle has yet to show a comparable rig response.

EXHIBIT 19: **Flag rig count in US and in the world.**



Source: Baker Hughes, Bloomberg, EIA, Bernstein research and analysis

In prior supercycles, service companies were often among the earliest and most confident guides to raise expectations, but not this time… **We did not ses out sized profitability or an aggressive capex ramp.**

EXHIBIT 20: **Even companies closest to the spending cycle are not behaving as if a capex supercycle is underway.**

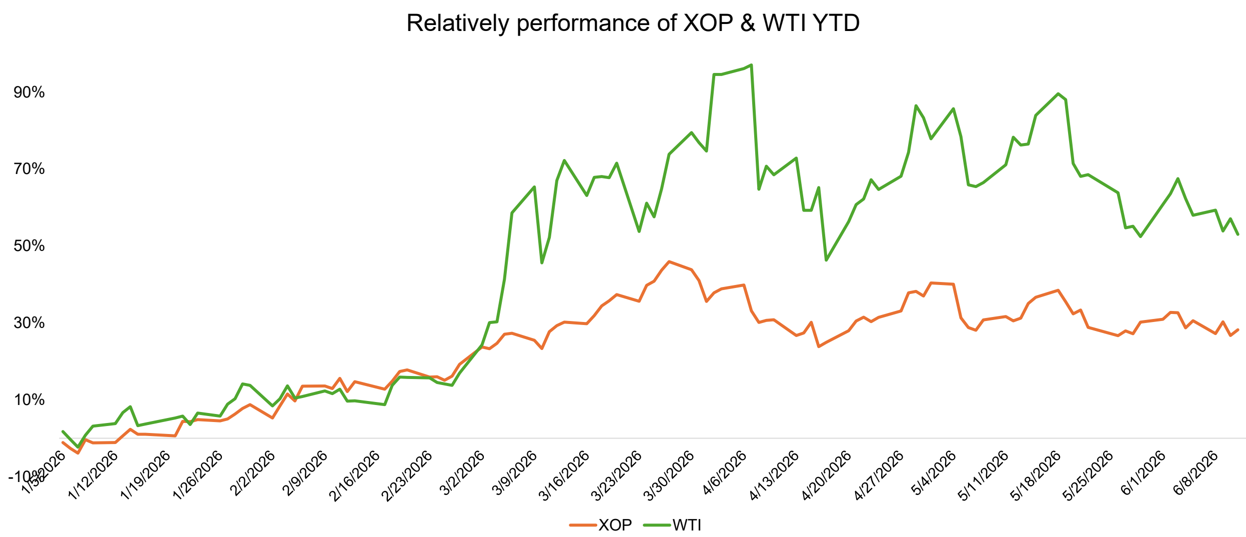
FY2026 Guidance (Recent Q vs. previous Q)	Profitability	CAPEX
SLB	2Q margin negatively impacted	Flat
BKR	Flat	Flat
RIG	Revenue range slightly decreased	Increased to $150M from $130M
HAL	n/a (mentioned customer caution)	Flat
HP	Flat	Flat

Source: Comapny reports, Bernstein research and analysis

Finally, we highlight that oil price has outperformed E&P equities year to date. The thesis of higher for longer prices driving better than historic volume growth is not one that we find resonating.

Instead we'd suggest that as we exit the current crisis and the Strait reopens, the dominant theme will be a comfortable oil price with a powerful floor (refilling strategic reserves at $70+?) where excess free cash flow is rapidly collected by E&Ps and returned to shareholders.

EXHIBIT 21: **Relative XOP lag supports a catch-up setup.**



Source: Bloomberg, Bernstein research and analysis

DISCLOSURE APPENDIX

I. REQUIRED DISCLOSURES

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The Bernstein brand has three categories of ratings:

- Outperform: Stock will outpace the market index by more than 15 pp
- Market-Perform: Stock will perform in line with the market index to within +/-15 pp
- Underperform: Stock will trail the performance of the market index by more than 15 pp

Coverage Suspended: Coverage of a company under the Bernstein research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Not Covered (NC) denotes companies that are not under coverage.

Bernstein brand stock ratings are based on a 12-month time horizon.

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The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 500 Banks And Financial Services Index (BEBANKS) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 500 Insurance Index (BEINSUR) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, and the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments. Ratings are stated relative to the sector (not the market).

The Autonomous brand has three categories of common stock ratings:

- Outperform (OP): Stock will outpace the relevant index by more than 10 pp
- Neutral (N): Stock will perform in line with the market index to within +/-10 pp
- Underperform (UP): Stock will trail the performance of the relevant index by more than 10 pp

Coverage Suspended: Coverage of a company under the Autonomous research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

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Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

Not Covered (NC) denotes companies that are not under coverage.

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The Autonomous brand has three categories of preferred stock ratings:

- Outperform (OP): The total return of the preferred instrument is expected to outperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Neutral (N): The total return of the preferred instrument is expected to perform in line with preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Underperform (UP): The total return of the preferred instrument is expected to underperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.

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